

Multiple Choice

1. **Answer:** D

Options: A) A college buys computers.; B) The Department of Transportation repaves a road.; C) A city spends money to refurbish a public park.; D) You buy a 1957 Chevy from a friend.

Note: Correct option: D - You buy a 1957 Chevy from a friend.

2. **Answer:** E

Options: A) A wage payment lower than the average revenue product of labor.; B) Employment level lower than that of a competitive labor market.; C) A single buyer of labor services.; D) Employment level greater than that of a competitive labor market.; E) A wage payment lower than the marginal revenue product of labor.

Note: Correct option: E - A wage payment lower than the marginal revenue product of labor.

3. **Answer:** B

Options: A) add \$1000 to the money supply; B) add \$ 500 to the money supply; C) no change in the money supply; D) reduce \$1000 from the money supply

Note: Correct option: B - add \$ 500 to the money supply

4. **Answer:** D

Options: A) the demand for goods and services decreases.; B) the stock market crashes.; C) bond prices fall.; D) the nominal interest rate falls.; E) the unemployment rate rises.

Note: Correct option: D - the nominal interest rate falls.

5. **Answer:** A

Options: A) \$50 billion; B) \$87.5 billion; C) \$100 billion; D) \$37.5 billion; E) \$200 billion

Note: Correct option: A - \$50 billion

True / False

6. **Answer:** False

Options: A) True; B) False

Note: Actual answer is '1 x 1'.

7. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

8. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'a decrease in the demand for fast-food workers.'

9. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'A tax applicable only to raw materials'.

10. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'Expansion of the welfare state'.

Long Form Response

11. **Answer:** \$1,700,000. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

12. **Answer:** Higher interest rates that decrease private investment.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key